

What is this NAV? It is the price of a unit of a scheme. The full form is net asset value. It is not 'gross', because the costs have been removed from the price, and you get the net value in your hand. Imagine there are 100 investors and each has put in Rs 1,000 in an equity mutual fund.

Each bought a unit for the price of Rs 10; therefore, each investor holds 100 units. A sum of Rs 1 lakh is invested by the mutual fund in different stocks. A year later the value of the portfolio is Rs 1.5 lakhs, giving a profit of Rs 50,000. This will be shared equally by the units, but before that costs will be removed. If the cost is Rs 10,000, the profit that goes to the unit holders is Rs 40,000. This gets reflected in the NAV that goes from Rs 10 to Rs 14. Your 100 units are now worth Rs 1,400. Multiply the NAV with the number of units you hold to get the value of your mutual fund holding per scheme.

How do mutual funds make money?

Good question. Nobody is doing charity here. Profit motive with good regulation is the best way for competition to flower and for the consumer to get a good deal. Costs matter and you need to understand costs really well so you can decode not just mutual funds but other products as well.

Remember that costs don't really matter in a fixed-return product, such as a fixed deposit (FD) or a bond. A 10 per cent FD will give 10 per cent on the principal. The banks price the deposit after taking care of their costs and profits.

Bonds and traditional plans (non-participating plans only) sold by insurance companies too work on the same logic – you get a defined amount back either periodically or in one bullet shot some ten to fifteen years later. You need to just worry about the rate of interest, the final payback and the current inflation rates.

But you need to think about costs in a market-linked product or one in which the returns are linked to an underlying asset such as stocks, bonds, real estate, gold or commodities.

In its simplest form, a market-linked investment product carries three kinds of costs. One, the cost to enter the product, also called a front load. If you invest